



Kenya Trade Opportunity Report

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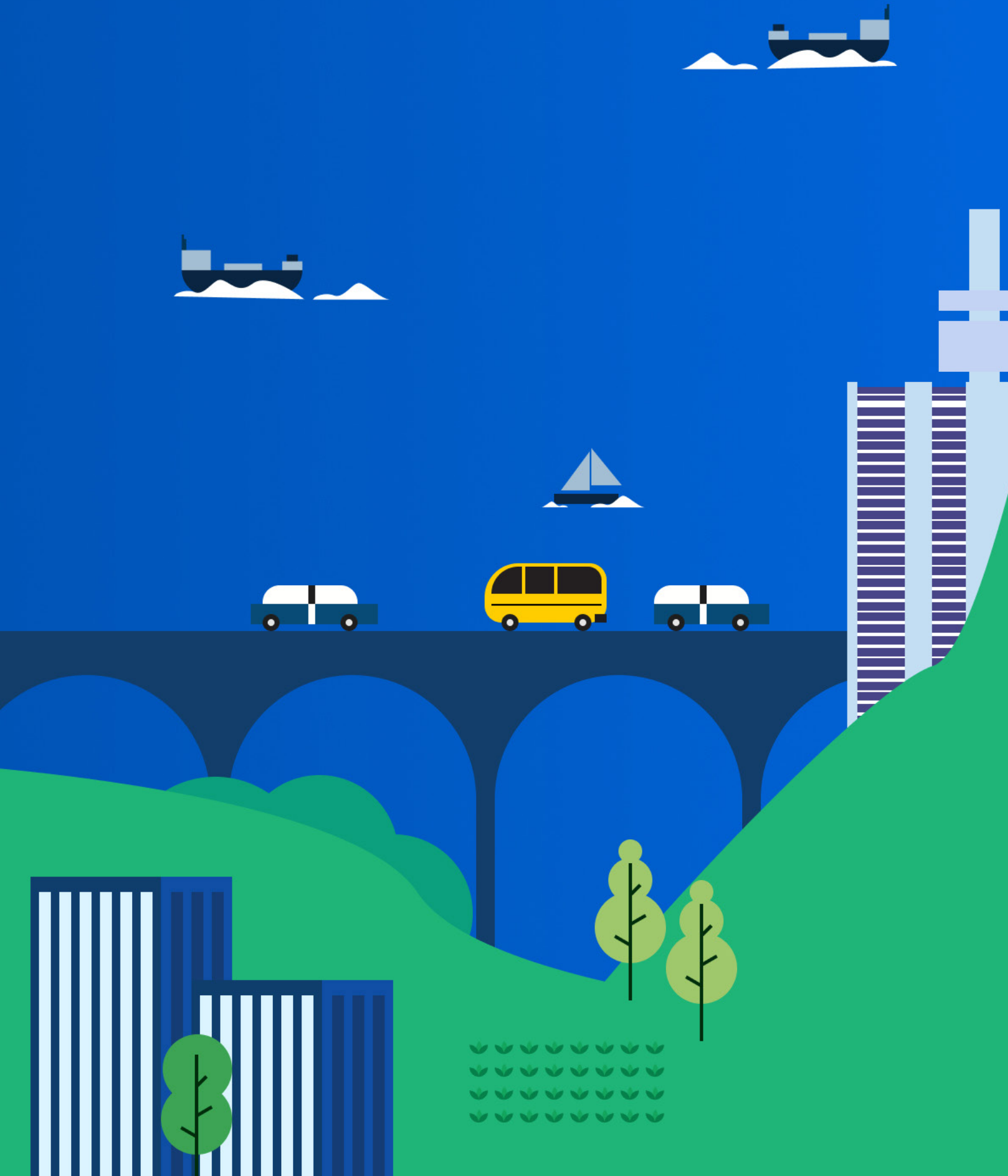


TABLE OF CONTENTS

Introduction

What does Kenya export globally?	01
----------------------------------	----

Kenya's current intra-Africa trade	02
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Current top sources of commodities Kenya exports	04
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What trade opportunities exist?	10
---------------------------------	----

Trade opportunities by regional economic communities	16
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Highlight of special commodities	27
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About SCI-Trade platform	28
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Appendix	29
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INTRODUCTION

Africa's share in global trade remains negligible at only 2.7%, although about 85% of Africa's merchandise are exported to other continents (African Union, 2018). Not only is Africa's share of global exports negligible, but Africa's share is also dominated by just a few countries (60% of this trade comes from five countries - UNCTAD data 2014 – 2017). This implies that besides the low intra-African trade, most countries are marginal players in international trade. The Literature presents mixed evidence on the benefits of economic integration, such as the Africa Continental Free Trade Agreement (AfCFTA). We, however, align with the suggestion that the AfCFTA has the potential to raise intra-Africa trade by about 19% (Geda and Yimer 2019). We construct a pairwise Product Opportunity Index using people and products' factors (Social Connectedness and Export-Import intersection, respectively) for every exportable product possible between African countries (1,579 commodities). Our index helps to rank and recommend top countries to which a specific commodity from a particular country can be exported under the AfCFTA trading terms.

Our report on Kenya focuses on the top five non-industrial exportable products or commodities with little or no barrier to entry (using 2019 data). We highlight opportunities within African countries for five commodities, namely, Palm Oil, Soaps, Salt, Margarine, and Cleaning Products, though the country can export about 1,091 products. Using the Product Opportunity Index (POPI) designed by CcHUB, we highlight 5 top African countries for each commodity. Focusing on new opportunities or ease of doing business that AfCFTA will bring, we select the top 5 countries outside the regional economic area (Eastern Africa). We, however, identify all countries within the threshold of the recommended top 5 by identifying countries that Kenya can commercially export the products to within the region. To take advantage of opportunities brought about by AfCFTA, we focus on the top 5 countries for the product outside the Regional Economic Commission.

The index utilizes Facebook's Social Connectedness Index and the intersection of commodities for each African country (pairwise analysis). The SCI-Trade platform (<https://www.scitrade.africa/>) further provides information on opportunities based on country or commodity.



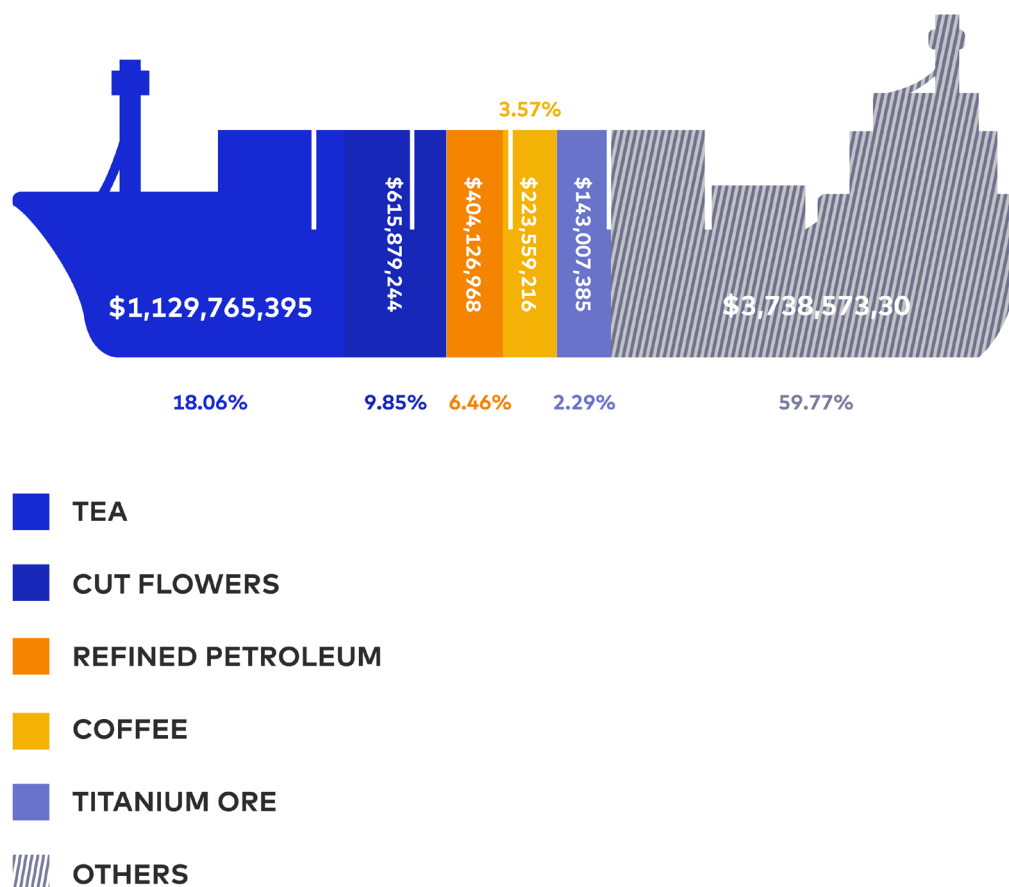
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01 WHAT DOES KENYA EXPORT GLOBALLY?

The economy of Kenya is ranked 61st in terms of nominal Gross Domestic Product (GDP of \$95.5Billion) in the world and the 6th in Africa. The country's total export of about \$6.25billion in 2019 made it the number 107 in the world in terms of export. Kenya's economy is one of the fastest-growing in the Sub-Saharan with an average growth rate of 5.7% between 2015 and 2019. The economy is dominated by the agriculture and the services industry (Services, 47.5%, Agriculture 34.5% and Industry 17.8%). In terms of employment, the agricultural sector employs over 61% of the country's workforce, while the services industry engages over 32% of the workforce. The five major commodities contributing to export proceeds are tea (over 18%), cut flowers (about 10%), refined petroleum (over 6%), coffee (over 3%) and titanium ore (over 2%). See Fig 1.

FIG 1: What Kenya exports globally¹



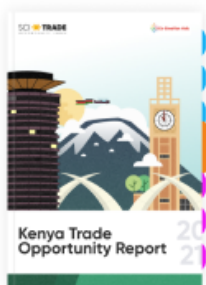
¹ https://oec.world/en/visualize/tree_map/hs92/export/nga/all/show/2019/

02 KENYA'S CURRENT INTRA-AFRICA TRADE

Similar to other African countries, the export of the main product from Kenya (tea) is mainly made to countries outside Africa, with about 20% of the export going to Africa, while Pakistan takes about 38%. Less than 2% of the cut flowers exports are made within Africa, while the Netherlands imports about 48% of the product from Kenya. Less than 15% of refined petroleum is exported to African countries, while the United Arab Emirates imports over 42% of the product from Kenya. However, unlike many African countries, Kenya still exports a substantial amount of other goods to African countries but mainly within the Eastern African region (dominant trading countries being Uganda and Rwanda). Overall, Africa is considered Kenya's largest export market, followed by the European Union. The fact that exports within Africa are a small portion of Kenya's total exports, which many other African countries are importing commodities in high volumes indicates untapped opportunities within Africa for Kenya. Therefore, the commencement of trading on Africa Continental Free Trade Agreement terms in January 2021 opens the opportunity to boost Kenya's exports to other African-Eastern African countries.

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